Trading with pivot points

Did you know that there's a handy trading tool that helps you forecast the direction that the price might change to? Meet pivot points! In this guide, we'll walk you through what pivot points are, how to set them up and how you can use them to your advantage.

What are pivot points?

Pivot points are special levels on your trading chart that help you identify where the price might change direction. They're calculated based on the high, low and close prices from the previous period, like the previous day, hour, month, etc. Traders love them because they're reliable indicators of where prices might stop falling (support) or stop rising (resistance).

To add pivot points, press on the chart, then Indicators and choose Pivot Points Standard. That's it! The lines will appear on your chart.

Reading pivot points

- **Central Pivot (P):** This is the middle line. If the price is above this line, it indicates bullish sentiment. If it's below, it indicates bearish sentiment
- **Support levels (S1, S2, S3, S4, S5):** These are the lines below the current price. They indicate where the price might stop falling and start rising again
- **Resistance levels (R1, R2, R3, R4, R5):** These are the lines above the current price. They indicate where the price might stop rising and start falling again

Tips for using pivot points

01

Entry and exit points: Use the support and resistance levels to decide where to enter or exit a trade

- Buying: Traders usually consider buying near the support levels (S1, S2, etc.)
- Selling: Traders usually consider selling near the resistance levels (R1, R2, etc.)

02

Setting stop losses: Place your stop loss just beyond the pivot points line to manage your risk. For example, if you're buying near S1, place your stop loss a bit below S1. If you're selling near R1, place your stop loss a bit above R1

03

Trend confirmation: Use pivot points along with other indicators to confirm the trend. Traders tend to trade in the direction of the trend for better chances of success

Example of trading with pivot points

The price bounces off the R1 level downwards at 1.08136. A trader might decide to sell with a stop loss just above R1, closing part of their trade at 1.07403 and another part at S1, which is 1.06289.

And there you go! Now you can have these handy pivot points guiding you through the ups and downs of the market. They're easy to use and help you make more informed trading decisions. Ready to try it out?